

described Madoff's market-making firm in 1992:

He has built a highly profitable securities firm, Bernard L. Madoff Investment Securities, which siphons a huge volume of stock trades away from the Big Board. The \$740 million average daily volume of trades executed electronically by the Madoff firm off the exchange equals 9% of the New York exchange's. Mr. Madoff's firm can execute trades so quickly and cheaply that it actually pays other brokerage firms a penny a share to execute their customers' orders, profiting from the spread between bid and ask prices that most stocks trade for.

This is not a journalist inaccurately describing a fraud yet to be uncovered; Madoff's market-making business was legitimate. A former staffer said the market-making arm of Madoff's business made between \$25 million and \$50 million per year.

Bernie Madoff's legitimate, non-fraudulent business was by any measure a huge success. It made him hugely—and legitimately—wealthy.

And yet, the fraud.

The question we should ask of both Gupta and Madoff is why someone worth hundreds of millions of dollars would be so desperate for more money that they risked everything in pursuit of even more.

Crime committed by those living on the edge of survival is one thing. A Nigerian scam artist once told *The New York Times* that he felt guilty for hurting others, but “poverty will not make you feel the pain.”¹³

What Gupta and Madoff did is something different. They already had everything: unimaginable wealth, prestige, power, freedom. And they threw it all away because they wanted more.

They had no sense of *enough*.

They are extreme examples. But there are non-criminal versions of this behavior.

The hedge fund Long-Term Capital Management was staffed with traders personally worth tens and hundreds of millions of dollars each, with most of their wealth invested in their own funds. Then they took so much risk in the quest for more that they managed to lose everything—in 1998, in the middle of the greatest bull market and strongest economy in history. Warren Buffett later put it:

To make money they didn't have and didn't need, they risked what they did have and did need. And that's foolish. It is just plain foolish. If you risk something that is important to you for